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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/MGU-BBA (Honours)/MGU-BCA (Honours) Special Examinations, July 2026 (for 2024 Admission Regular Examinations, October 2025)

THIRD SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM200 - SPECIAL

BUSINESS ACCOUNTING

(2024 ADMISSION ONWARDS)

Part A Very Short Answer Questions

Answer any 12 questions

Each question carries 1 mark

1.Hire Vendor a/c. (Can be asset account too)

2.Consignment a/c.

3.Net Sales. 9Sales or Revenue from Operations)

4.Farm Account. Or Live Stock account

5. The balance asset remains with the hire purchaser and is revalued or left in their books at its written-down book value (minus normal depreciation).

6. Because goods never become consignee's goods. (Consignee does not purchase the goods)

7. Hire vendor

8. interruption of business due to fire (loss of sales as well as loss of insured standing charges.)

9. Because it covers the risk of bad debts.

10.Agricultural Farms. (Commercial farms/agro based activities)

11.Hire Purchaser a/c.

12. To reward consignee for normal sales effort.

13. Average Clause

14. Debtors a/c Dr 15,000

To Poultry Sales 15,000.

Part B Short Answer/ Problem Type Questions

Answer any 4 questions

Each question carries 7 marks

15.Journal Entries in the books of Mr Y(Hire Vendor)

1 mark interest calculation – 6 marks entires

Date	Particulars	LF	Debit(Rs)	Credit(Rs)
2020 Jan 1	Mr X a/c---------- Dr To Hire Sales		30,000	 30,000

	(For Goods sold on Hire Purchase Agreement)			
2020 Jan 1	Bank a/c---------- Dr To Mr X a/c (For Down Payment received)		4,000	4,000
2020 Dec 31	Mr.X a/c ---------- Dr To Interest * (Interest Due)		1,300	1,300
2020 Dec 31	Bank a/c ---------- D. To Mr.X a/c (Receipt of first Instalment)		6000	6000
2020 Dec 31	Hire sales a/c---------- Dr. To Trading a/c (Transfer of sales to Trading a/c)		30,000	30,000
2020 Dec 31	Interest a/c---------- Dr. To Profit and Loss A/c (Transfer of interest)		1,300	1,300

Interest Calculation= (30,000-4000) x 5%=1300

16. **Consignee's A/c**

Dr.	Amount (₹)	Cr.	Amount (₹)
To Consignment A/c (Sales: 90 × 15,500)	13,95,000	By Consignment A/c – Duty & clearing (non-recurring)	4,500
		By Consignment A/c – Selling expenses	3,200
		By Consignment A/c – Commission (6% of 13,95,000)	83,700
		By Bank – Remittance	13,03,600
Total	13,95,000	Total	13,95,000

17. **Dr. Memorandum Trading Account Cr. (3 marks)**

Particulars	Amount	Particulars	Amount
Opening Stock Purchases Gross profit (84,000 * 1/4)	20,000 61,000 21,000	Sales Closing Stock	84,000 18,000
Total	1,02,000	Total	1,02,000

<u>Calculation of claim to be lodged</u> (2 marks)

Stock on the date of fire less : salvage value	18,000 6,000
Claim to be lodged	**12,000**

Policy amount = Rs. 15,000 and Actual stock value = Rs. 18,000 (2 marks)

Apply Average Clause: Claim=Policy Amount Actual Stock Value × Loss Admissible claim
= 12,000 * (15,000/18,000) = **10,000**

18. **Dr.** **Poultry a/c** **Cr.**

Particulars	Amount(₹)	Particulars	Amount(₹)
To Opening stock	15,000	By Sales of eggs	20000
To Purchase of chicks	8,000	By sale of Birds	12,000
To Feed and Medicine	6,500	By Balance C/d	10,000,
To Wages	5,500	(Closing Stock)	
To profit transferred to Farm a/c	**7,000**		
	42,000		42,000

19.**a) Hire Purchase Agreement** means an agreement under which goods are let on hire and under which the hirer has an option to purchase them in accordance with the terms of agreement and includes the agreement under which: possession of goods is delivered by the owner there of to a person on a condition that such person pays the agreed amount in periodical instalments, property to pass on to the buyer only on payment of last instalment and such person has right to terminate the agreement at any time before the property passes.

b) Hire purchaser: A person who obtains or has obtained possession of goods from an owner under hire purchase agreement is known as hire purchaser or hirer.

c)Cash Price: It is the price at which goods may be purchased by the hirer for cash .It is the amount for which an article can be purchased immediately by making a lumpsum payment, without there being the facility of instalment purchase.

d) Hire Purchase Price: The total amount that the hire purchaser is required to pay to the hire vendor under the terms of hire purchase contract. The amount includes interest also. It is always higher than cash price of the goods. Hire Purchase Price= Cash Price +Interest.

e) Cash Price (Repeated): It is the price at which goods may be purchased by the hirer for cash .It is the amount for which an article can be purchased immediately by making a lumpsum payment, without there being the facility of instalment purchase.

f) Cash Down Payment: Under the hire purchase system and instalment system, the purchaser is required to pay an amount at the time of signing the agreement. It is called “Down Payment”. It simply means the initial payment made at the time of signing the agreement. It is a part of hire purchase price.

20. Farm accounts depend on natural conditions, involve biological conversion, and have no fixed cost structures, unlike manufacturing.
Farm accounts manage living plants and animals, and manufacturing accounts manage non-living raw materials processed into finished goods.
Farm production is seasonal while manufacturing is continuous and controlled inside a factory environment.

Farm assets are valued at fair value, while manufacturing inventory is valued at historical cost**. (Consider other relevant points also)**

Part C

Essay/ Problem Type Questions.

Answer any 2 questions

Each question carries 15 marks

21. Analysis Table

Date	Particulars	Amount Outstanding (Rs.)	Interest (2.5%) (Rs.)	Instalment (Rs.)	Principal Included (Rs.)	Balance (Rs.)
1.1.20X1	**Cash Price**	**3,010.00**	**-**	**-**	**-**	**3,010.00**
30.6.20X1	**Interest**	**3,010.00**	**75.25**	**800**	**724.75**	**2,285.25**

From 1 July to 30 September (3 months)

Outstanding after first instalment = Rs.2,285.25

Interest for 3 months= Rs.2,285.25 × 5% × 3/12 = Rs.28.57

Proportionate Instalment = 800 x 3/12 + 200 = **600 (Value liberally)**

Total balance due before repossession entry = 2,285.25 + 28.56 - 600 = 1,713.81

Agreed valuation of repossessed furniture = 1500

Loss on Repossession = 1,713.81 - 1,500 = 213.81 (2.5 marks)

Books of Hire Vendor (R Ltd) (3 marks)

Dr. Mr. A a/c Cr.

Date	Particular	JF	Rs.	Date	Particular	JF	Rs.
20X1 Jan 1	To Hire Sales		3010	20X1 June 30	By Bank		800
20X1 June 30	To interest		75.25	20X1 Sept 30	By Repossessed Stock a/c		1500
Sep 30	To interest		28.57	20X1 Sept 30	By Bank		600
				20X1 Sept 30	By Profit and Loss A/c		213.81
			3113.81				**3113.81**

Dr Repossessed Stock a/c Cr. (1.5 marks)

Date	Particular	JF	Rs.	Date	Particular	JF	Rs.
20X1 Sept 30	To Mr. A a/c		1500	20X1 Oct 15	By Bank A/c (Sale)		1800
20X1 Oct 15	To Bank A/c (Repairs)		200				
	To Profit and Loss (Profit)		100				
			1800				**1800**

22. Ledger Account in the book of Consignor (MR Associates)

Calculations = 5 marks- Major 3 accounts- 10 marks

Dr **Consignment Account** Cr

Particulars	Amount	Particulars	Amount
To Goods sent to consignment A/c	1,00,000	By Goods sent to consignment A/c	20,000
To Bank	4,000	By SR Electronic	90,000
To SR Electronic (Expense)	1,200	By Abnormal loss	8,400
To SR Electronic (Commission) (90,000 x6%)	5,400	By Consignment Stock	15,600
To Stock Reserve (loading 30 x100)	3,000		
	22,400		
To Profit and Loss A/c	1,34,000		1,34,000

Dr **SR Electronic Account** Cr

Particulars	Amount	Particulars	Amount
To Consignment A/c	90,000	By Bill Receivables (Advance)	40,000
		By Consignment (Expense)	1,200
		By Consignment (Commission)	5,400
		By Bank (B/f)	43,400
	90,000		90,000

Dr **Abnormal Loss Account** Cr

Particulars	Amount	Particulars	Amount
To Consignment A/c	8,400	By Insurance Company	5,000
		By Profit and Loss Account	3,400
	8,400		8,400

Dr **Goods sent to consignment Account** Cr

Particulars	Amount	Particulars	Amount
To Consignment A/c	20,000	By Consignment	1,00,000
To Profit and Loss A/c (Bf)	80,000		
	90,000		90,000

Working Notes

1. **Abnormal Loss**

Cost of Abnormal Loss (20x400)	8,000
Add: Proportion of Non-recurring Expenses met by Consignor (4,000x20/200)	400
	8,400

2. **Invoice price** = Cost + Load= 400 + (400x25%) = 400+ 100= 500

3. **Consignment Stock**

   Unsold units = Goods Consigned – (Sales+ Abnormal Loss) = 200-(150+20) = 30

   Valuation of Consignment Stock

Invoice price of stock (30 X 500)	15,000
Add: Proportion of Non-recurring Expenses met by Consignor (4,000x30/200)	600
	15,600

4. **Stock Reserve (Closing Sock)**

   Stock reserve= No of unsold units x Load= 30 x (400x 25%) = 30x 100= 3,000

5. **Load on Goods sent to Consignment** = Goods Consigned x load= 200x (400x 25%) = 200x 100= 20,000

Ledger Account in the book of Consignee (SR Electronics)

Dr **MR Associates Account** Cr

Particulars	Amount	Particulars	Amount
To Bills Payable (Advance)	40,000	By Bank (Sales)(150 x 600)	90,000
To Bank (Expense)	1,200		
To Commission	5,400		
T0 Bank (B/f)	43,400		
	90,000		90,000

23.

GP ratio **(2 marks)**		
$= \frac{\text{net Profit + insured standing charges}}{\text{annual turnover}}\ x\ 100$	$\frac{90\ \text{lakh}+60\ \text{lakh}}{500\ lakh}\ X\ 100=$	30%
Calculation of Short Sales (3 marks)		
Standard sales march 2000-august 2000	240 lakh	
Add: 10% upward on 240 lakh	24 lakh	264 lakh
Actual Turnover during dislocation		80 lakh
Therefore short sales (std sales – actual sales)		184 lakh

- **Gross Profit (loss)on Short Sales (2 marks)**

  Loss of Gross Profit=₹184 lakh×30%=₹55.20 lakh

Calculation of Annual adjusted sales:		
Annual turnover (1st March 2000- 28th February 2001)	600 lakh	
Add: 10% increasing trend	60 lakh	
Adjusted annual turn over		**660 lakh**

GP on adjusted annual turn over 660 x 30% = 198 lakh (2 marks)

Admissible increased working cost: (2 marks)

a) **Actual expenses** **9.3 lakhs**

b) **GP on sales generated by additional expenses:**

30% x 25 lakh (80 lakh – 55 lakh) = 7.5 lakh

c) **Additional expenses**

$$additional\ expenses \text{ x } \frac{\text{GP annual adjusted turnover}}{\text{GP annual adjusted turnover} + \text{un insured expenses}}$$

$$\mathbf{9.3\ lakh\ x\ \frac{198\ lakh}{198\ lakh + 5\ lakh} = 7.5\ lakh}$$

Least of the three figures is admissible claim. Ie 7.5 lakh

1. Statement of claim: **(2 marks)**

Loss on sale of claim	Rs 55.2 lakh
Add: allowable additional expenses	Rs 7.5 lakh
	Rs 62.7 lakh
Less: savings	Rs 2.7 lakh
	Rs 60.0 lakh

Applying average clause (2marks)

$$\mathbf{60\ lakh\ x\ \frac{165\ lakh}{198\ lakh} = 50\ lakh}$$